

29-3 Banks and the Money Supply

So far, we have introduced the concept of “money” and discussed how the Fed controls the supply of money by buying and selling government bonds in open-market operations. This explanation of the money supply is correct, but it is not complete. In particular, it omits the key role that banks play in the monetary system.

“I’ve heard a lot about money, and now I’d like to try some.”

Mick Stevens/The New Yorker Collection/ www.cartoonbank.com

Recall that the amount of money you hold includes both currency (the bills in your wallet and coins in your pocket) and demand deposits (the balance in your checking account). Because demand deposits are held in banks, the behavior of banks can influence the quantity of demand deposits and, therefore, the money supply. This section examines how banks affect the money supply and, in doing so, how they complicate the Fed’s job of controlling the money supply.